

Mr. Mohamed Azman Yahya (alias: Mohamed Azman bin Yahya)

Aged 56, is an Independent Non-executive Director of the Company, having been appointed on 24 February 2014. He is also a member of the Nomination Committee and the Remuneration Committee of the Company. Mr. Yahya is the Executive Chairman of Symphony Life Berhad and the Independent Non-executive Chairman of Ranhill Holdings Berhad, both listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Malaysia). Mr. Yahya is a director and Chairman of various companies, including Symphony House Sdn Bhd (formerly known as Symphony House Berhad) and Sepang International Circuit Sdn Bhd. He started his career at KPMG in London and thereafter worked in a variety of roles in investment banking, ultimately being named chief executive of Amanah Merchant Bank. In 1998, he was tasked by the Malaysian Government to set-up and head Danaharta, the national asset management company. He was also the Chairman of the Corporate Debt Restructuring Committee, set up by Bank Negara Malaysia to mediate and assist in debt restructuring programmes of viable companies. Mr. Yahya was a director of Khazanah Nasional Berhad, the Malaysian government investment arm, from 2004 to 2018, a director of Ekuiti Nasional Berhad, a government linked private equity fund management company, from 2009 to 2019, and an independent non-executive director of Sime Darby Berhad from 2017 to 2019. Mr. Yahya was the Non-executive Chairman of Ranhill Holdings Berhad before his re-designation as Independent Non-executive Chairman with effective from 2 February 2019. Mr. Yahya received his BSc Economics (First Class) from the London School of Economics and Political Science in 1985 and is a member of the Institute of Chartered Accountants in England and Wales, the Malaysian Institute of Accountants and a fellow of the Institute of Bankers Malaysia.

Professor Lawrence Juen-Yee Lau

Aged 75, is an Independent Non-executive Director of the Company, having been appointed on 18 September 2014. He is also a member of the Nomination Committee and the Risk Committee of the Company. Professor Lau currently serves as an independent non-executive director of CNOOC Limited and Semiconductor Manufacturing International Corporation (both listed on the Hong Kong Stock Exchange and the New York Stock Exchange). He is also an independent non-executive director of Hysan Development Company Limited (listed on the Hong Kong Stock Exchange) and Far EasTone Telecommunications Company Limited (listed on the Taiwan Stock Exchange). He has been serving as the Ralph and Claire Landau Professor of Economics at The Chinese University of Hong Kong (CUHK) since 2007 and the Chairman of the Council of Shenzhen Finance Institute of CUHK, Shenzhen since 12 January 2017. He currently serves as a member of the Currency Board Sub-committee of the Exchange Fund Advisory Committee of the HKSAR. He was formerly a member of the Exchange Fund Advisory Committee of the HKSAR, Chairman of its Governance Sub-committee and a member of its Investment Sub-committee until 2019. In addition, he serves as a member and Chairman of the Prize Recommendation Committee for the LUI Che Woo Prize Limited; Vice-Chairman of the Our Hong Kong Foundation; Vice-Chairman of China Center for International Economic Exchanges, Beijing; a member of the Hong Kong Trade Development Council Belt and Road & Greater Bay Area Committee; a fellow of the Hong Kong Academy of Finance; as well as the C.V. Starr distinguished fellow of China Development Research Foundation, Beijing. He was awarded the Gold Bauhinia Star by the HKSAR Government in 2011. From 2004 to 2010, Professor Lau served as Vice-Chancellor (President) of CUHK. He was appointed Chairman of CIC International (Hong Kong) Co., Limited, a wholly-owned subsidiary of China Investment Corporation, in September 2010 and retired from the position in September 2014. He was a member of the 12th National Committee of the Chinese People's Political Consultative Conference and a Vice-Chairman of its Sub-committee of Economics from 2013 to 2018. He received his B.S. degree (with Great Distinction) in Physics from Stanford University in 1964 and his M.A. and Ph.D. degrees in Economics from the University of California at Berkeley in 1966 and 1969, respectively. He joined the faculty of the Department of Economics at Stanford University in 1966, becoming its Professor of Economics in 1976 and the first Kwoh-Ting Li Professor in Economic Development in 1992. From 1992 to 1996, he served as a Co-Director of the Asia-Pacific Research Center at Stanford University, and from 1997 to 1999 as the Director of the Stanford Institute for Economic Policy Research. He became its Kwoh-Ting Li Professor in Economic Development, Emeritus, upon his retirement from Stanford University in 2006.

2. SIGNIFICANT ACCOUNTING POLICIES (continued)**2.4 Insurance and investment contracts** (continued)**Product classification** (continued)

Certain contracts with DPF supplement the amount of guaranteed benefits due to policyholders. These contracts are distinct from other insurance and investment contracts as the Group has discretion in the amount and/or timing of the benefits declared, and how such benefits are allocated between groups of policyholders. Customers may be entitled to receive, as a supplement to guaranteed benefits, additional benefits or bonuses:

- that are likely to be a significant portion of the total contractual benefits;
- whose amount or timing is contractually at the discretion of the Group; and
- that are contractually based on:
 - the performance of a specified pool of contracts or a specified type of contract;
 - realised and/or unrealised investment returns on a specified pool of assets held by the issuer; or
 - the profit or loss of the Company, fund or other entity that issues the contract.

The Group applies the same accounting policies for the recognition and measurement of obligations and the deferral of acquisition costs arising from investment contracts with DPF as it does to insurance contracts. The Group refers to such contracts as participating business. In some jurisdictions participating business is written in a participating fund which is distinct from the other assets of the Company or branch. The allocation of benefits from the assets held in such participating funds is subject to minimum policyholder participation mechanisms which are established by regulation. The extent of such policyholder participation may change over time. The current policyholder participation in declared dividends for locations with participating funds is set out below:

Country	Current policyholder participation
Singapore	90%
Malaysia	90%
Mainland China	70%
Australia	80%
Brunei	80%

In some jurisdictions participating business is not written in a distinct fund and the Group refers to this as other participating business.

23. FAIR VALUE MEASUREMENT

Fair value of financial instruments

The Group classifies all financial assets as either at fair value through profit or loss, or as available for sale, which are carried at fair value, or as loans and receivables, which are carried at amortised cost. Financial liabilities are classified as either at fair value through profit or loss or at amortised cost, except for investment contracts with DPF which are accounted for under IFRS 4.

The following tables present the fair values of the Group's financial assets and financial liabilities:

		Fair value		Cost/ amortised cost	Total carrying value	Total fair value
		Fair value through profit or loss	Available for sale			
US\$m	Notes					
31 December 2019						
Financial investments	21					
Loans and deposits		–	–	10,086	10,086	10,086
Debt securities		33,132	138,852	–	171,984	171,984
Equity securities		50,322	–	–	50,322	50,322
Derivative financial instruments	22	971	–	–	971	971
Reinsurance receivables	19	–	–	683	683	683
Other receivables	24	–	–	2,983	2,983	2,983
Accrued investment income	24	–	–	1,710	1,710	1,710
Cash and cash equivalents	26	–	–	3,941	3,941	3,941
Financial assets		84,425	138,852	19,403	242,680	242,680
		Notes	Fair value through profit or loss	Cost/ amortised cost	Total carrying value	Total fair value
Financial liabilities						
Investment contract liabilities	28		11,391	515	11,906	11,906
Borrowings	30		–	5,757	5,757	6,169
Obligations under repurchase agreements	31		–	1,826	1,826	1,826
Derivative financial instruments	22		412	–	412	412
Other liabilities	34		1,116	8,301	9,417	9,417
Financial liabilities			12,919	16,399	29,318	29,730

23. FAIR VALUE MEASUREMENT (continued)**Fair value hierarchy for fair value measurement on a recurring basis** (continued)

US\$m	Fair value hierarchy			Total
	Level 1	Level 2	Level 3	
31 December 2018				
Recurring fair value measurements				
Non-financial assets				
Property held for own use	–	–	982	982
Investment property	–	–	4,794	4,794
Financial assets				
Available for sale				
Debt securities				
Participating funds and Other participating business with distinct portfolios	27	21,645	309	21,981
Other policyholder and shareholder	–	89,591	913	90,504
At fair value through profit or loss				
Debt securities				
Participating funds and Other participating business with distinct portfolios	7	21,785	531	22,323
Unit-linked and consolidated investment funds	–	4,697	68	4,765
Other policyholder and shareholder	1	618	29	648
Equity securities				
Participating funds and Other participating business with distinct portfolios	12,124	710	1,058	13,892
Unit-linked and consolidated investment funds	18,223	195	–	18,418
Other policyholder and shareholder	4,859	655	275	5,789
Derivative financial instruments				
Foreign exchange contracts	–	235	–	235
Interest rate contracts	–	122	–	122
Other contracts	2	71	–	73
Total assets on a recurring fair value measurement basis	35,243	140,324	8,959	184,526
% of Total	19.1	76.0	4.9	100.0
Financial liabilities				
Investment contract liabilities	–	–	6,907	6,907
Derivative financial instruments				
Foreign exchange contracts	–	201	–	201
Interest rate contracts	–	42	–	42
Other liabilities	–	1,153	–	1,153
Total liabilities on a recurring fair value measurement basis	–	1,396	6,907	8,303
% of Total	–	16.8	83.2	100.0

The Group's policy is to recognise transfers of assets and liabilities between Level 1 and Level 2 at their fair values as at the end of each reporting period, consistent with the date of the determination of fair value. Assets are transferred out of Level 1 when they are no longer transacted with sufficient frequency and volume in an active market. During the year ended 31 December 2019, the Group transferred US\$379m (thirteen months ended 31 December 2018: US\$15m) of assets measured at fair value from Level 1 to Level 2. Conversely, assets are transferred from Level 2 to Level 1 when transaction volume and frequency are indicative of an active market. The Group transferred US\$36m of asset (thirteen months ended 31 December 2018: nil) from Level 2 to Level 1 during the year ended 31 December 2019.

30. BORROWINGS

US\$m	As at 31 December 2019	As at 31 December 2018
Medium-term notes	5,757	4,954
Total	5,757	4,954

Interest expense on borrowings is shown in note 11. Further information relating to interest rates and the maturity profile of borrowings is presented in note 38.

The following table summarises the Company's outstanding medium-term notes placed to the market at 31 December 2019:

Issue date	Nominal amount	Interest rate	Tenor at issue	Maturity
13 March 2013 ⁽¹⁾	US\$500m	3.125%	10 years	13 March 2023
11 March 2014 ⁽¹⁾	US\$500m	4.875%	30 years	11 March 2044
11 March 2015 ⁽¹⁾	US\$750m	3.200%	10 years	11 March 2025
16 March 2016 ⁽¹⁾	US\$750m	4.500%	30 years	16 March 2046
23 May 2017 ⁽²⁾	US\$500m	4.470%	30 years	23 May 2047
6 April 2018 ⁽¹⁾	US\$500m	3.900%	10 years	6 April 2028
12 April 2018	HK\$3,900m	2.760%	3 years	12 April 2021
20 September 2018 ⁽¹⁾	US\$500m	3M LIBOR + 0.52%	3 years	20 September 2021
16 January 2019	HK\$1,300m	2.950%	3.5 years	16 July 2022
16 January 2019	HK\$1,100m	3.680%	12 years	16 January 2031
9 April 2019 ⁽¹⁾	US\$1,000m	3.600%	10 years	9 April 2029

Notes:

(1) These medium-term notes are listed on The Stock Exchange of Hong Kong Limited.

(2) These medium-term notes are listed on The Taipei Exchange, Taiwan (China). The Company has the right to redeem these notes at par on 23 May of each year beginning on 23 May 2022.

The net proceeds from issuance during the year ended 31 December 2019 are used for general corporate purposes.

The Group has access to an aggregate of US\$2,438m unsecured committed credit facilities, which includes a US\$248m credit facility expiring in 2020, as well as a US\$2,190m credit facility expiring in 2024. The credit facilities will be used for general corporate purposes. There were no outstanding borrowings under these credit facilities as of 31 December 2019 and 31 December 2018.